

BGSI — Pitch Deck (updated 2026-08-24)

Both benches and the evidence pack are already in front of me, and the runner has no file-write tools enabled, so the deck itself is my output. Here it is in full.

PITCH — BGSI — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: Buy a small starter position (one quarter of intended size, ~0.5% of the book) near \$102 ahead of the August 12 earnings report, with all further buying strictly conditional on that report confirming leverage $\leq 3.0x$ and continued sales growth — the red bench would stay flat until after the report, and adjudication must break that split.

What we believe

Boyd Group Services (Gerber Collision & Glass and related brands; CIK 2091467) is a North American collision-repair consolidator whose stock has fallen 44% from its 52-week high of \$183.10 to \$102.34, and now sits 15% above its 52-week low. We believe most of that decline is mechanical rather than fundamental. Two things happened during the drawdown window: the company did a large debt-funded acquisition (JHCC, 258 sites) plus a share offering priced at \$141 in November 2025, which raised net debt to about \$2.0 billion, and the equity then amplified every move in the total business value. Converting the stock decline into a change in total enterprise value, the last -27% leg in the shares is only about a -18% move in what the whole business is valued at: from roughly 12.1x annualized EBITDA down to about 9.9x.

Meanwhile the fundamentals the market seems worried about have, per the company's own most recent report, stabilized: Boyd's Q1 2026 press release disclosed record quarterly sales of \$996.7 million, adjusted EBITDA of \$122.4 million (margin up ~200bps), same-store sales up 1.7% attributed to market-share gains, industry claim volumes down only 0–2% (“now back in-line with Boyd's long-term growth framework”), and pro forma leverage of 2.9x against a stated 2.7x target ([Boyd Q1 2026 press release](#)). If the August 12 report confirms that leverage path and that sales trajectory, ~10x EBITDA for a share-gaining consolidator is cheap.

What the market believes

The market appears to believe some combination of: (1) the pool of repairable car crashes is structurally shrinking — the CCC Crash Course 2026 industry report showed repairable claims down 9.7% in 2025 and a record 23.1% of claims resolved as total losses (cars scrapped instead of repaired), meaning fewer jobs for body shops; (2) Boyd chose the worst moment to lever up ~\$1.3 billion to buy more body shops exposed to that shrinking pool; and (3) its headline growth is illusory, because “same-store sales” is measured in dollars, and when repair prices are inflating faster than +1.7%, positive dollar growth is mathematically compatible with fewer actual repairs. On that view, a de-rating from 12x to 10x EBITDA for a levered consolidator of a declining market is not a mispricing — it is the correct price.

Why we might have edge

The blue bench’s decisive finding is that the market’s (and our own red bench’s) loudest bear datum is **stale**. The CCC industry data covers calendar 2025; Boyd’s own Q1 2026 report — published five weeks before the stock’s June decline — disclosed that industry volumes had already normalized to just 0–2% down. A sell-off justified by “-10%/year shrinking pool” when the operative disclosed run-rate is 0–2% is a stale-base error, and we caught our own bench making it.

Second, a timeline point: the 2025 volume-decline data was public *before* Boyd’s November 2025 share offering priced at \$141. Investors who knew that data paid \$141. Using the same data to explain the fall from \$141 to \$102 requires a story about why tolerance for it changed — nobody, including our red bench, supplied one.

Third, the two questions the bears rest on both get answered on August 12 at a knowable date: the leverage reconciliation (disclosed 2.9x pro forma vs the 2.7x target) and whether sales growth continued with volume commentary intact. That gives us a cheap, well-defined test rather than an open-ended argument.

Why it might be priced in

Honest concessions, and there are several. The original thesis claimed the decline had “no disclosed cause” — both benches refuted that; the total-loss and claims-volume data is published, structural, and a legitimate reason to de-rate this business (CCC Crash Course 2026). Record 23.1% total-loss frequency is a real long-run headwind even if 2026 volumes have stabilized, and “0–2% down” is still not growth. The dollar-based same-store-sales metric genuinely cannot prove repair volumes are rising, so the share-gain story rests partly on management’s characterization. The move from 12x to ~10x EBITDA may simply be the market correctly repricing a now-more-levered company in a flat-to-shrinking end market — that is a valuation disagreement, not a dislocation. The hoped-for hail-season tailwind is unverified and may even cut against us (hail damage skews toward total losses, which Boyd doesn’t repair). And we could not check short interest or crowding (our live brokerage data feed was denied in this run), so we cannot rule out that sophisticated money is already positioned on one side of the August 12 report.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Aug 12 earnings date	Company 6-K notice (0001193125-26-299850), upgrading the pack's "unconfirmed" yfinance date	Q2 report Aug 12 pre-open, call 8:00am ET	YES — primary
Industry repairable claims shrinking	Web search → CCC Crash Course 2026 report + press release	-9.7% in 2025; record 23.1% total-loss frequency — real, but a 2025 figure	YES, but red bench erred in treating it as the current run-rate
Current volume run-rate	Boyd Q1 2026 press release (May 13)	Industry volumes down only 0–2%, "back in-line with long-term growth framework"	YES — company disclosure; the thesis's "no disclosed cause" claim was wrong too
"SSS +1.7% proves volumes fine"	Q1 press release definition check	SSS is revenue-based; cannot prove unit volumes — but at 0–2% industry decline the masking concern mostly dissolves	PARTIAL — metric limitation confirmed, bear inference reduced
Share count ~27.8M	Q1 press release weighted-average share count (red's reconstruction had been unverified)	27.8M confirmed	YES
-27% stock leg = only ~-18% enterprise-value leg; 12.1x → ~9.9x EBITDA	Arithmetic: 27.8M shares × price + ~\$2.0B net debt ÷ (4 × \$122.4M Q1 EBITDA)	Confirmed by both benches	YES
"Boyd is 4.1x levered" (red)	Q1 press release	Company disclosed pro forma leverage 2.9x (definition not fully reconciled) — red bench overstated	Red's figure REDUCED ; 2.9x confirmed as disclosed
Volume data predates the \$141 offering	Filing/publication timeline	CCC's through-Aug-25 datum was public before the Nov 4, 2025 offering priced at \$141	YES — timeline

Claim	How checked	Found	Confirmed?
IPO lockup lapsed ~May 2026	Asserted by red; blue audit	No lockup-terms source in the record — red bench asserted without evidence	NO — unverified (immaterial to verdict)
Dividend maintenance = management confidence	Arithmetic	~C\$17M/yr, ~0.6% yield — near-zero signal after a \$1.3B levering	Claim REFUTED
Hail season helps Boyd's new footprint	No tool could check realized Q2 storms	Plausible only; may favor total losses instead	NO
Crowding / short interest	IBKR live data — permission denied both benches	Unknown	NO — coverage gap

PROPOSED ENTRY BANDS

All levels derive from the benches' shared arithmetic (27.8M shares, ~\$2.0B net debt, \$489.6M annualized Q1 EBITDA). The benches split: red says stay flat until after the report; blue says small starter now with hard gates. The proposal below is blue's structure, flagged for the adjudicator.

- **Starter (now, pre-print):** Buy ~0.5% of the book near **\$102** (one quarter of a standard ~2% full position — the benches set the fraction, not the dollar size; the 2% full-position figure is desk default, not court output). This is the contested piece: red's position is zero until Aug 13.
- **Add gate (both conditions required, from the Aug 12 report):** (i) lease-adjusted leverage reconciled to **≤3.0x on a stated definition**, and (ii) same-store sales still positive **with the volume/share-gain commentary intact**. If both pass, add toward half position at prices up to **~\$104** (~10x EBITDA) and toward full position on any post-print weakness in the **\$87–95** range (9.0x EBITDA ≈ \$86.50).
- **Exit/trim:** If either gate fails on Aug 12, exit the starter — the thesis's own cruxes will have broken. Separately, reassess and trim into strength above **~\$141** (the November offering price, ~12x EBITDA), where the “mechanical overshoot” argument is fully paid.
- **If adjudication rules NO ENTRY:** reopen bands are (a) any close below **\$88.97** (new 52-week low, ~9.1x — re-court the name), or (b) within 48 hours after the Aug 12 report with the leverage reconciliation in hand, per red's own recommendation.
- **Catalyst date:** Q2 2026 earnings, **August 12, 2026, pre-open** (call 8:00am ET) — confirmed by company 6-K.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 87.0 (deck-provisional: 9.0x annualized Q1 EBITDA floor from benches' shared arithmetic)

- filing watch: 6-K until 2027-02-05 (deck-provisional: foreign private issuer - Q2 release, MD&A leverage reconciliation, and any material news arrive as 6-K)
- dated pack BGSI2026-08-12: BGSI: Q2 2026 earnings pre-open (call 8:00am ET); resolves leverage $\leq 3.0x$ and SSS/volume gates (date confirmed=True)

What remains unverified

- The definition behind Boyd's "pro forma 2.9x" leverage (presumably full-year JHCC EBITDA, after leases) — the August 12 reconciliation is still owed, and it is the single most load-bearing open item.
- Actual repair-order (unit) volumes at Boyd — the dollar-based same-store-sales metric cannot show them; only management commentary decomposes them.
- Realized Q2 2026 hail activity across the acquired 258-site footprint — no storm data was checked by either bench, and the direction of the effect is itself uncertain.
- Short interest, crowding, and live two-sided quotes — brokerage data access was denied in this run; the \$102.34 price is the pack's Yahoo close.
- The IPO lockup terms and whether they lapsed in May 2026 — asserted by red, unsourced, though immaterial to the verdict.
- The exact current share count (27.8M is the Q1 weighted average, not a point-in-time count).

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Adjudication & update (2026-08-24)

RULING CHAIN: 8/10 adjudication → 8/12 print (graded 12 days late) → 8/24 band-touch ruling → divergence add STAGED.

The 8/10 adjudication: half-starter at the doctrinal floor (conviction 6/10), quarter-tranche entered — held **25 sh @ \$99.54**. Blue overturned red's pool-shrink fatal as *stale application* (the CCC -9.7% datum was public before institutions paid \$141.00 on 11/4/25, and superseded by Boyd's own May disclosure of industry volumes "back in-line"). The remaining 75% was gated on the 8/12 print: leverage $\leq 3.0x$ **on a stated definition**, plus positive SSS with industry volume commentary no worse than ~-4%.

The grading miss, stated honestly: the 8/12 gate sat ungraded for 12 days. Root cause was not forgetfulness but plumbing — the resolution pack was written **without a date field**, making it invisible to every date-driven sweep (a systemic defect: 916 dateless packs found and repaired 2026-08-24; an hourly CRITICAL guard now exists). The miss happened to land favorably — the add is available 12–17% below the post-print tape — but that is luck, not process. Print-gated positions now carry a grade-by date, not just a print date.

The print grade, sensor by sensor (6-K 0001193125-26-345758, read direct from EDGAR):

Gate / sensor	Bar	Printed	Grade
Leverage definition	stated, w/ lease liability	Covenant verbatim: senior funded debt/EBITDA ≤ 3.50 , “ <i>property lease payments are deducted from EBITDA... adjusted to reflect... pro-forma annualized acquisition results and anticipated synergies</i> ” — ex-lease by construction ; IFRS-16 lease liability \$1,050.9M disclosed separately (net senior debt \$953.1M; with leases \$2,003.9M) +2.9% Q2 (\$801.9M vs \$779.6M); July positive — share-gains-only	PARTIAL PASS — definition and lease split delivered; no printed ratio; desk-computed covenant range $\approx 2.6\text{--}2.9\times$ on unverified FY25 inputs
SSS	positive	“ <i>flat to down 2%... meaningful improvement</i> ”	PASS
Industry repairable volume	no worse than $\sim -4\%$	\$30.8M	PASS — red’s -9.7% kill stays stale
Finance costs	\$32–34M/q band	\$135.9M , margin 13.4% (+140bps)	PASS (below band)
Adj EBITDA	vs Q1 \$122.4M	\$1,013.7M > \$996.7M on only ~ 9 incremental JHCC days	PASS
Day-count rule	sales $\approx$ Q1 = organic flatness	accelerated: JHCC 2026 \$35M vs \$20M prior; 2026	PASS (organic growth)
Synergies	$\sim$ \$140M program pace		

Gate / sensor	Bar	Printed	Grade
		total \$65M vs \$50M	

The divergence ruling: the print closed **+2.4%** on the day — then fell **−12.5%** **the next day on peak volume** and drifted to a new 52-week low (\$86.86 vs the prior \$87.86 floor), with **zero company filings after 8/12** and sector proxies rising over the same window (LKQ +5.4%, CPRT +14.7%). Every graded sensor improved while the stock made new lows against a rising sector: the slide is ruled **idiosyncratic re-interpretation/flow** (candidates: call tone, the GAAP-optics gap — EPS \$0.05 vs adjusted \$0.80-class on D&A +52% and finance costs +71% — and the share-gains-only July read). Analyst actions unverified (no research access).

Order status: instruction #103 — BUY 40 BGSILMT \$85.10 GTC, HARD cancel-by 2026-10-30 — awaiting principal click. Half the gated remainder. Tranche 2 (~35 sh) unlocks only on desk verification of the covenant EBITDA arithmetic from FY25 primaries — the printed-ratio absence plus add-back dependence is the one unresolved leg, and it stays load-bearing.

Kills refreshed: industry commentary re-accelerating below −4% · verified covenant leverage >3.25x · any negative-SSS quarter · finance costs >\$36M/q · TCOR framing worsening from “transitory.”

What could go wrong (v1.7 — print-grade pre-mortem, quoted verbatim)

1. **Tripwire-less (interpretation-asymmetry class):** whatever the 8/13 sellers heard — call tone, guidance nuance, positioning — no feed reads it, and the revenue bridge that would settle it arrives quarters late.
2. **Covenant construction flatters:** “anticipated synergies” sit inside covenant EBITDA; if realization slips, marked ~2.9x understates the true fixed-charge load on a \$2.0B lease-inclusive stack.
3. **Structural:** industry volumes never recover (23.1% total-loss frequency is secular) — share gains exhaust, SSS goes negative, the debt remains.
4. **Reflexive/structural leg (added at deck update):** the staged add bids into a 52-week-low tape where the day-after sellers may simply have information we lack — we are buying the divergence *before* verifying the covenant EBITDA ourselves; if tranche-2 verification later fails, tranche 1 will already be filled at what looked like a discount to a mismarked floor.

“If this position loses money, the most likely reason will be that the covenant’s synergy add-backs were doing more work than the business — leverage marked below 3x by construction while lease-burdened fixed charges compounded into an industry whose volumes never came back, and the day-after sellers had read the call correctly while we read the tables.”

(Deck updated 2026-08-24 per the PPHC precedent: bench-era content above preserved as the record of what was known pre-adjudication; this section is the delta.)